ECON 0100 | Vignette C2 | Taxes + Subsidies

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

Before the connection between Glittering Gum and Starlight Sneeze was established, the fiscal arm of the Ministry implemented a 3 Coin subsidy on every sale of Glittering Gum, to put a little sparkle into Hogsmeade's conversations. The Demand and Supply curves are the same as in Vignette C1.

With no known externalities, use a graph to illustrate the impact of the subsidy on the market.

Buyer's Price (P_b): _____ Seller's Price (P_s): _____

Subsidy Quantity (Q^{Sub}): _____ Dead Weight Loss (DWL): _____